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SUPPLIER POSITION REPORT · NETAPP, INC.

NetApp and its five suppliers

Where each one sits in its own filed accounts, what its management has committed to on the record, and the three questions that have evidence behind them.

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Micron, SK Hynix, Samsung Electronics, Kioxia and Seagate. Evidence to 6 November 2026. Every figure traces to a filed document and every quote to a named quarter. Built from public filings. First-pass analysis to support your own review — not legal, investment or professional advice.

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Micron · SK Hynix · Samsung Electronics · Kioxia · Seagate | evidence to 6 November 2026

01 What this report is

NetApp buys memory and hard drives from five companies that all file public accounts and all hold public earnings calls. This report reads those filings from the buyer's side of the table.

It answers three questions. Where does each supplier sit today, measured against its own history rather than against a peer average. What has each one's management said on the record, in a named quarter, about price, capacity and the contracts it wants. And which of those statements can be used in a negotiation, because the supplier's own numbers either support it or do not.

What this report will not do

- **It does not forecast a price.** Nothing here predicts DRAM, NAND or drive pricing for a future quarter.
- **It gives no single score.** There is no blended supplier rating, because a blended number hides which dimension moved and can come out flattering for every supplier at once. Each dimension is reported on its own.
- **It does not split any of these five into fixed and variable cost.** Our cost model is deliberately withheld for memory, and the reason is set out in section 06. A revenue change there is price times volume, and the two do not behave the same way.
- **Where the filings will not carry an answer, it says so** rather than estimating one.

A note on what absence means. Where a figure is not shown for a supplier, that means it is not in the material we have read — not that the supplier does not report it. We never treat a gap in our own reading as a gap in a supplier's disclosure.

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02 The finding, in one page

> **All five of NetApp's suppliers have moved supply onto binding, prepaid, multi-year allocation at the same time — and NetApp's own 10-K already shows what that is costing.**
>
> This is not an inference about intent. Each of the five has described the shift in its own words on a dated earnings call, and NetApp's FY2026 filing reports both the committed amount and the margin effect.

The second half of the finding is the part that is easy to miss. NetApp holds almost no component inventory and carries the timing risk as commitments instead. At 24 April 2026 it held $14 million of purchased components — down from $81 million a year earlier, and roughly **four days** of its annual materials spend. Over the same period it carried $1.4 billion of off-balance-sheet purchase commitments, of which $1.1 billion falls due in fiscal 2027.

Its suppliers, meanwhile, were holding between **86 and 136 days** of inventory in their latest filed year. The stock sits upstream. NetApp pays for the timing in commitments rather than in working capital — which is a defensible way to run a balance sheet, and also the reason a price move lands on NetApp's margin fast, with little buffer behind it.

$1.4bn Committed to suppliers, off balance sheet, at 24 Apr 2026	**4 days** Purchased components held, against annual materials spend
56% Hybrid Cloud product gross margin FY26, from 60% in FY24	**+$126m** Increase in materials cost in FY26

Source: NetApp FY2026 Form 10-K, filed 5 June 2026 for the year ended 24 April 2026. Days of purchased components is our arithmetic on two figures from that filing: components inventory of $14m against materials cost of about $1.27bn, being the 91% of the $1,395m cost of Hybrid Cloud product revenues that NetApp attributes to materials.

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03 NetApp's own position, from NetApp's own filing

Before reading the suppliers, it is worth setting out what NetApp has already told the market. Everything in this section is quoted or calculated from the FY2026 10-K.

	FY2026	FY2025	FY2024
Net revenues	6,925	6,572	6,268
Gross margin, total company	71%	70%	71%
Hybrid Cloud product revenues	3,194	3,040	–
Cost of Hybrid Cloud product revenues	1,395	1,278	1,131
… as % of Hybrid Cloud product revenues	44%	42%	40%
Implied Hybrid Cloud product gross margin	56%	58%	60%
Materials as % of that cost	91%	89%	88%
Purchased components in inventory	14	81	–
Finished goods in inventory	184	105	–
Off-balance-sheet purchase commitments	1,400	–	–

NetApp, Inc., Form 10-K for the fiscal years ended 24 April 2026, 25 April 2025 and 26 April 2024. Dollars in millions. Product gross margin is the complement of the cost-to-revenue ratio NetApp discloses for its Hybrid Cloud segment.

Three things follow directly, with no modelling involved.

- **The squeeze is in the product line, not the company total.** Total gross margin is flat at about 71% because support and public cloud revenue carries it. The product margin inside Hybrid Cloud fell from 60% to 56% in two years, and NetApp attributes the latest step to component cost directly.
- **Materials are now a larger share of a larger cost.** They rose from 88% to 91% of cost of product revenues while that cost itself grew. There is less non-material cost left to absorb a component increase.
- **The committed amount is close to a full year of materials.** The $1.1bn due in FY2027 is roughly nine tenths of the $1.27bn of materials NetApp consumed in FY2026.

> "We have experienced increased costs for memory and other components, which have affected our gross margins, and we expect costs will remain elevated, or continue to increase, in the near term."
>
> NetApp, Form 10-K FY2026, Business Environment — Supply Chain

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> “We raised our pricing in the fourth quarter of fiscal 2026, in line with market trends. We expect to continue adjusting prices as necessary to offset rising costs and remain aligned with the market.”
>
> NetApp, Form 10-K FY2026, strategic actions
>
> The increase has already been passed to NetApp's own customers, and NetApp has told the market it expects to do it again. **So the question a procurement team is answerable for is no longer whether cost rose, but whether this particular supplier's increase is supported by that supplier's own cost position.** Sections 04 and 05 are about exactly that.

NetApp's own risk disclosure names the structure that the next two sections document from the other side of the table:

> “Potential for binding price or purchase commitments with our suppliers at higher than market rates”
>
> NetApp, Form 10-K FY2026, risks of the outsourced manufacturing model

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04 Where each supplier sits in its own accounts

Each of the five is measured against six years of its own filed results, not against the other four. That matters because these businesses are not comparable to one another: a fab and a drive plant convert capital into output at completely different rates, so a cross-company capital intensity comparison says more about the technology than about the supplier's choices. Measured against itself, each number means something.

SUPPLIER	LATEST FY	GROSS MARGIN	ITS OWN 6-YEAR LOW	ITS OWN 6-YEAR HIGH	INVENTORY
Micron	2025	39.8%	-9.1% (2023)	45.2% (2022)	136
SK Hynix	2025	60.4%	-1.6% (2023)	60.4% (2025)	136
Samsung Electronics	2025	39.4%	30.3% (2023)	40.5% (2021)	95
Kioxia	2025	43.3%	-12.0% (2023)	43.3% (2025)	114
Seagate	2026	45.6%	18.3% (2023)	45.6% (2026)	86

Latest filed fiscal year per supplier, against that supplier's own six-year range. Gross margin and capital expenditure a reported as percentages, and inventory as days, so that the Korean- and Japanese-reporting companies are compara reporters with no exchange-rate assumption entering the figure. Inventory days are our arithmetic: closing inventories annualised.

What the table says

- **Three of the five are at the best gross margin in their own six-year record.** SK Hynix at 60.4%, Kioxia at 43.3% and Seagate at 45.6% are each at their own high. Micron at 39.8% and Samsung at 39.4% are below their own peaks of 45.2% and 40.5%.
- **Every one of them came through a severe 2023.** Micron's gross margin was -9.1% that year, Kioxia's -12.0%, SK Hynix's -1.6%, Seagate's 18.3%, Samsung's 30.3%. The current position is a recovery from a loss-making trough, not a step onto a new plateau. **This is the single most useful fact in the report for a buyer**, and it cuts both ways: it explains why these suppliers are rebuilding margin rather than negotiating, and it also means the current level is not something any of them has demonstrated it can hold.
- **Reinvestment separates them sharply.** Micron is putting 42% of revenue into capital expenditure and SK Hynix 28%. Kioxia is at 12% and Seagate at 4.7%. For Kioxia that is against its own 40% in fiscal 2022 — a record gross margin alongside reinvestment at roughly a third of its own prior peak. For Seagate, 4.7% sits inside the 2.9% to 5.6% band it has run for six years, so its record margin has not required a change in spending.
- **Inventory is held upstream.** Micron and SK Hynix are each at 136 days, Kioxia 114, Samsung 95, Seagate 86. Against NetApp's four days of purchased components, the buffer in this chain sits on the supplier side of it.

On reading this as a direction of travel: it is deliberately not presented as one. Each row is a position in a range, with the years named. We do not publish trend claims on supplier readings, because a trend

requires reducing each period to a single comparable number, and that is the blended score this report does not produce. A named year in a named range is as far as this evidence goes.

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05 What their management has committed to, on the record

Every quote below is verbatim from a named quarter's earnings call or presentation. The line under each one is what it means for a buyer, and it is labelled as our reading rather than presented as part of the quote.

Micron Q2-26, Q3-26

> "Those LTAs had no binding terms in them. It was more of a handshake, kind of an understanding with customers about ensuring that there is good level of supply chain planning that we do…"
>
> Micron Q3-26 earnings call
>
> Micron is drawing an explicit line between its older long-term agreements and the supply commitment agreements it is signing now. **If NetApp holds an agreement written under the older framework, what it is being asked to accept on renewal is a different instrument, not a renewal of the same one.**

> "These SCAs are meant to achieve the objectives for the customers in terms of their ability to plan and be able to count on supply commitments that are in the agreements, but also for us to be able to count on specific commitments that are there from the customers."
>
> Micron Q2-26 earnings call
>
> The obligation runs in both directions. **A volume commitment NetApp cannot hit becomes NetApp's exposure — and that is the mechanism its own 10-K names as a risk.**

> "We expect fiscal 2026 CapEx to be above $25,000,000,000… We project our fiscal 2027 CapEx to step up meaningfully to support HBM and DRAM-related investments. We expect construction-related CapEx to increase by over $10,000,000,000 year over year in fiscal 2027…"
>
> Micron Q2-26 earnings call
>
> Micron is the one supplier of the five whose cost-increase argument has a visible capital programme behind it — the guided figure is well above the $15.9bn it actually spent in FY2025. **That is a genuine justification, and it is also aimed at HBM and leading-edge DRAM rather than at the parts an enterprise storage buyer consumes.** Worth separating in the conversation.

> "With all of the efforts that we are doing, we still don't have line of sight as to when the supply is going to be able to meet demand…"
>
> Micron Q3-26 earnings call

SK Hynix Q1-26, Q2-26

> “To date, we have concluded LTA negotiations with around 10 customers, including our key customers… financial mechanisms such as deposits are incorporated to support contract fulfillment…”
>
> SK Hynix Q2-26 earnings call
>
> Around ten customers are inside the agreement structure, and a cash deposit is part of it. **Whether NetApp is one of those ten is the first thing to establish, because it decides whether this is an allocation conversation or a pricing one.**

> “In the PC and mobile markets, some signs of demand softening have emerged, including adjustments in such shipments and changes in product portfolios due to cost pressures stemming from higher memory prices.”
>
> SK Hynix Q1-26
>
> This is the most useful single sentence any of the five has said for a buyer. **SK Hynix's own management has conceded that higher memory prices are destroying demand in two of its end markets.** The tight-supply account is not uniform across segments, and the supplier said so first.

> “we are pulling forward the mass production schedule for M15X and proceeding with investments to rapidly expand production capacity following the clean room opening of the Yongin Phase 1 in early 2027.”
>
> SK Hynix Q2-26 earnings call
>
> A dated capacity milestone. **Early 2027 is a point at which to put a reopener in a contract, rather than accept a term priced on today's balance.**

Samsung Electronics Q1-26, Q2-26

> “DRAM and NAND supply volumes under multi-year supply contracts will easily account for 60%–70% of our planned capacity based on our current mid to long-term production plan.”
>
> Samsung Electronics Q2-26 earnings call
>
> Samsung has quantified what is already committed. **A buyer outside those contracts is negotiating over the remaining 30% to 40%, which is the single most important number to know before opening.**

> “we are negotiating the contractual terms, giving priority to customers willing to accept mutually binding contractual conditions… To enhance the binding nature of multi-year supply commitments, we've included substantial advance payments as a contractual requirement to be maintained over the multi-year contract period.”
>
> Samsung Electronics Q2-26 earnings call
>
> Advance payment is stated as a requirement, not an option. **That is a working-capital cost, and it belongs in the comparison when a prepaid allocation is set against a higher unit price without one.**

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> “despite industry-wide increases in CapEx, considering the lead time from new fab construction to actual wafer production, which exceeds three years… We believe it will be unlikely to see any significant increase in incremental supply through 2028.”
>
> Samsung Electronics Q2-26 earnings call
>
> Samsung has put a date on its own view of when supply relief arrives. **It is a supplier's statement in a market where it benefits from being believed — but it is on the record, and it is the horizon against which a multi-year term should be judged.**

Kioxia Q1-26, Q4-25

> “The biggest driver should be ASP up continuously from the first quarter. It is expected that ASP will continuously grow.”
>
> Kioxia Q1-26 earnings call

> “we plan to spend an average of JPY 470 billion annually on capital expenditures from FY 2026 to FY 2028.”
>
> Kioxia Q1-26 earnings call
>
> Set this against section 04. Kioxia is at its best gross margin in six years while capital expenditure runs at 12% of revenue, against its own 40% in fiscal 2022. **Of the five, Kioxia is the one whose record margin is least accompanied by a step-up in its own spending — which makes a cost-driven increase from Kioxia the one most worth asking it to itemise.**

> “The PC market is expected to see a decrease in shipments due to rising BOM costs, leading to a slight decline in NAND demand compared to calendar year 2025.”
>
> Kioxia Q1-26 earnings call
>
> The same concession SK Hynix made, from a second supplier independently. **Two of the five have now said on the record that their own price increases are reducing demand somewhere.**

> “we will have a long-term agreement that we will be signing in calendar year 2028. Most, we would say 50% of our shipment will be covered by LTA if things go well.”
>
> Kioxia Q1-26 earnings call
>
> Kioxia is the least committed of the five today, and says so. **That makes it the supplier where volume is most available now and the terms are least settled.**

Seagate Q3-26, Q4-26

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> “the vast majority of our nearline exabytes are now allocated into calendar 2028. Importantly, we are not seeing customers pull back on planning horizons. As our strategic relationships deepen, many are actively seeking to extend planning horizons through 2029 and beyond”
>
> `Seagate Q4-26 earnings call`
>
> One quarter earlier Seagate described nearline as “almost fully allocated through calendar 2027”. **The allocation horizon it describes moved out by a year between two consecutive calls, which is the strongest statement of scarcity any of the five has made.**

> “We remain disciplined in securing orders from these customers prior to initiating drive production, with contracts that define both product configuration and pricing terms, covering the entirety of calendar 2027.”
>
> `Seagate Q4-26 earnings call`
>
> Seagate does not build before it has the order and the price. **Volume for calendar 2027 is priced in contracts that already exist, so the live negotiation is 2028 and beyond.**

> “Our value-based pricing approach enables customers to plan with confidence while contributing to sustained profit growth for Seagate…”
>
> `Seagate Q3-26 earnings call`
>
> Seagate has described its own pricing as value-based rather than cost-plus. **A cost pass-through argument from Seagate is therefore inconsistent with the way Seagate has told its own investors it prices** — and section 04 shows a record gross margin on capital spending inside its normal band. Of the five, this is the weakest cost-based case.

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06 Three questions that have evidence behind them

These are not opening positions. Each one is a question whose answer is already partly on the record, which is what makes it hard to deflect.

1 Which segment is this increase actually priced for?

SK Hynix and Kioxia have each said, independently and on dated calls, that higher memory prices are reducing demand in PC and mobile. So the tight-supply account is not uniform across end markets, by the suppliers' own accounts. Enterprise storage is not the segment they described as softening — but it is also not the AI and HBM demand that Micron and Samsung name when they justify capital spending.

ASK

Your own Q1 commentary describes demand softening in PC and mobile from higher memory prices. Enterprise nearline and enterprise DRAM are a different segment. Which one is the increase you have sent us priced against?

2 What exactly is the prepayment buying?

Samsung states that advance payments are a contractual requirement and that 60% to 70% of planned capacity is already under multi-year contract. SK Hynix incorporates deposits. Micron's new agreements carry binding terms its previous ones did not. A prepaid allocation and a higher unit price with no prepayment are two different commercial offers, and the cash cost of the first belongs in the comparison.

ASK

You have said 60% to 70% of planned capacity is committed. For the remainder, price the same volume two ways: with the advance payment and without it. We will compare them on total cost, including our cost of that cash.

3 Is the increase cost, or is it margin recovery?

The answer differs by supplier, and section 04 says which is which. Micron has a guided capital programme above $25bn and a step-up beyond that in FY2027 — a real cost argument. Kioxia is at a six-year-high gross margin with capital spending at 12% of revenue, against its own 40% in fiscal 2022. Seagate is at a six-year-high gross margin inside its normal spending band, and describes its own pricing as value-based rather than cost-plus.

ASK

Where a supplier claims cost: which cost, and in which quarter did it appear in your filed accounts? Where a supplier prices on value: then say so, and we will negotiate on value — starting with what our volume and our planning horizon are worth to you.

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What we are withholding, and why

Our cost model splits a supplier's cost base into a fixed part and a part that moves with revenue, and reports what a volume change does to it. **We do not run it for any of these five, and that is a deliberate exclusion rather than a gap.**

The reason is in the table in section 04. For a memory or drive supplier, revenue is price multiplied by volume, and those two move independently — Micron's revenue went from $30.8bn to $15.5bn and back to $37.4bn in three years, with gross margin between -9.1% and 45.2%. A revenue change cannot stand in for a volume change in that data, so a model built on revenue would produce a fixed-cost share that reads precisely and means nothing.

Their **filed figures** are a different matter, and are used freely throughout this report. A fact and an inference get different treatment. A model that declines to answer where the data will not carry a number is worth more than one that fills the gap.

07 How to check every figure in this report

Nothing here is proprietary data. It is public disclosure, read carefully and assembled from the buyer's side. Every number can be traced back.

SECTION	SOURCE
NetApp figures and quotes	NetApp, Inc. Form 10-K for the fiscal year ended 24 April 2026, filed with the SEC on 5 June 2026. CIK 0001002047, accession 0001193125-26-259683.
Supplier annual figures	Six filed fiscal years each for Micron, SK Hynix, Samsung Electronics and Kioxia, and seven for Seagate, whose fiscal 2026 is already filed. Revenue, gross profit, operating income, inventories, cost of revenue and capital expenditure.
Supplier quotes	Earnings calls and earnings presentations for the quarters named beside each quote. Each quote was verified against its source document before it was stored, and a quote that failed verification is not shown.
Derived figures	Inventory days are closing inventories over cost of revenue, annualised. Capital expenditure share is capital expenditure over revenue. Days of purchased components is NetApp's components inventory over its materials cost. Each is stated where it is used.

Where each part of this report comes from. Supplier annual figures are drawn from the suppliers' own filed statements as held in our database; percentages and days are our arithmetic on those statements, and the formula is given wherever a derived figure appears.

One disclosure about our own coverage. The quotes in section 05 come from our reading of earnings calls and presentations for the quarters named. That reading is not a complete transcript archive for all five suppliers, so the absence of a quote on a given topic means we have not recorded one — never that the supplier has not addressed it. Where this report asserts something, it is because a verified quote or a filed figure supports it.

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